

1.

CASE #	CASE NAME	HEARING NAME
CVPS2301515	NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC	MOTION TO TAX COSTS BY PALM 10 ASSOCIATES, LLC

Tentative Ruling: Granted.

Plaintiff's Memorandum of Costs as to Palm 10 Associates is stricken in its entirety.

Moving party to provide notice pursuant to CCP 1019.5.

Plaintiff, New Generation Investments, LLC, alleges that Defendant, Palm 10 Associates, LLC (Palm 10) owns 246.4 acres of real property located near the intersection of Palm Drive and the I-10 freeway in Palm Springs. Plaintiff alleges that on 10/14/21, High Sand Dessert, LLC and Defendant entered into a Vacant Land Purchase Agreement and Joint Escrow Instructions (PSA), which was later assigned to Plaintiff, an entity with ownership common to High Sand Dessert, LLC. When Plaintiff and Palm 10 met to sign the PSA, the price was \$1.5 million higher than what they had previously agreed to. Defendant, Susan Harvey (Harvey), served as the dual real estate agent of both parties, and represented to them that she had received a "full price offer" for \$10,348,800 (\$1.5 million higher than agreed). Palm 10 heard Harvey's representation, but did not correct her. Plaintiff protested the higher price, but she and Palm 10 indicated that they owed it to Palm 10's partners to get the highest available price for the property. Plaintiff was unaware that Harvey's representation about another offer was false – she had increased the price for Palm 10's benefit to Plaintiff's detriment when Plaintiff was also her fiduciary. Plaintiff alleges that Palm 10 concealed its knowledge that there was no other buyer.

Based on the false representation, Plaintiff signed the PSA, made the requisite deposit, performed all its obligations except those concerning its performance that were frustrated or prevented. Plaintiff ran into obstacles due to the size of the property that fell within multiple municipal jurisdictions with different permitting processes. The parties made amendments to accommodate Plaintiff's due diligence. In about the third quarter of 2022, Plaintiff needed an additional extension of the escrow closing date, which Palm 10 agreed to, and inserted release language as to Palm 10, which excluded claims by Plaintiff against Harvey, as Palm 10's agent. Plaintiff alleges that due to the exclusion Palm 10 remains liable for claims arising out of Harvey's fraudulent conduct. Plaintiff also alleges that Harvey blocked Plaintiff's access to the property, and interfered with its rights and ability to close escrow; that Palm 10 demanded Plaintiff close escrow; and that Plaintiff attempted to obtain an additional extension. Around this time, Plaintiff learned of Harvey's fraudulent misrepresentation; she ultimately acknowledged there was no other offer. Plaintiff then demanded mediation under the Agreement, but Palm 10 has refused to respond to the demand.

Plaintiff filed its Complaint on 4/3/23 alleging five causes of action: 1) breach of contract; 2) specific performance; 3) rescission; 4) breach of fiduciary duty; and, 5) fraud.

On 3/13/24, Cross-Complainant, Palm 10, filed its Cross-Complaint alleging four causes of action: 1) breach of contract for damages; 2) breach of contract for specific performance; 3) negligent misrepresentation; and, 4) intentional misrepresentation.

This matter was tried before a jury beginning on 2/3/26. Following deliberation, the jury returned a verdict, which provided no relief on any of Plaintiff's causes of action against Palm 10, Harvey, or Desert Pacific Properties or Palm 10's causes of action against Plaintiff. (see 3/16/26 Defense Judgment.)

On April 10, 2026, Plaintiff filed a Memorandum of Costs ("MOC") seeking \$43,124.11.

Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10), brings this motion to strike/tax costs claimed by Plaintiff/Cross-Defendant, New Generation Investments, LLC in its Memorandum of Costs (MOC) in the amount of \$42,124.11 filed on 4/10/26. Palm 10 argues that the entire MOC must be stricken/taxed on the ground that Plaintiff was not the prevailing party in this action so, Plaintiff cannot recover any costs. Palm 10 asserts that it, rather than Plaintiff, is the prevailing party having obtained both a monetary and non-monetary recovery.

Plaintiff/Cross-Defendant, New Generation Investments, LLC (New Generation), opposes the motion arguing that Plaintiff is the prevailing party as to Palm 10's Cross-Complaint having obtained a complete defense verdict on each cause of action; that Palm 10's motion fails to acknowledge the distinction in the verdict as it does not mention the outcome as to the Cross-Complaint, cites no authority as to dueling pleadings, and challenges no specific cost item; that as a result, the motion must be denied and Plaintiff awarded all costs claimed in its MOC.

The Reply asserts that New Generation did not address the "prevailing party" definition in CCP § 1032(b) as to costs; that both New Generation and Palm 10 tried to keep the \$1.5 million in earnest money deposits and extension fees; that Palm 10 prevailed on that claim as it was awarded the net monetary recovery of \$1.5 million; and re-asserts prior arguments.

Motion to Tax Costs

Cal. Rules of Court ("CRC"), Rule 3.1700, which provides that a prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of the mailing of the entry of judgment An extension for filing this document can be given by the court or through an agreement by the parties. "[T]he court may extend the times for serving and filing the cost memorandum or notice of motion to strike or tax costs for a period not to exceed 30 days." (*Id.* at (b)(3).)

The losing party may dispute any or all of the items in the prevailing party's costs memorandum. (CRC, Rule 3.1700(b)). Technically, a motion to strike challenges the entire costs bill whereas a motion to tax challenges particular items or amounts. The terms are often used interchangeably and there is no difference in the procedural rules. (CRC, Rule 3.1700(b).)

Defendant/Cross-Complainant, Palm 10, argues that Plaintiff's entire MOC must be stricken/taxed because Plaintiff is **not** the "prevailing party" in this action. In general, the prevailing party "is entitled *as a matter of right* to recover costs of suit in any action or proceeding. (Weil & Brown, CPG: Civil Trials and Evidence (TRG 2026) § 17:205 citing *Santisas v. Goodin* (1998) 17 Cal.4th 599, 606.) Where the requirements for a prevailing party are met, "the trial court has *no* discretion to order each party to bear their own costs of suit. (*Id.* citing *Michell v. Olick* (1996) 49 Cal.App.4th 1194, 1198.)

The term "prevailing party" is defined by statute to include: "The party with a *net monetary recovery*"; a defendant who is *dismissed* from the action; a defendant where *neither* plaintiff nor defendant recovers anything; and "[a] defendant as against those plaintiffs who do not recover any relief against that defendant." (*Id.* § 17:206.) "If the party does not fall into one of these four express categories, the court may exercise its *discretion* to award or deny costs. (*Id.* citing *Lincoln v. Schurgin* (1995) 39 Cal.App.4th 100, 105.) This is the case even if the prevailing party obtains only partial recovery (e.g., prevails on only one of several causes of action.) (*Id.* § 17:208 citing *Vought Const. Inc. v. Stock* (2022) 84 Cal.App.5th 622, 635; *Michell, supra.* at 1199.) Notably, "plaintiff" includes cross-complainants and "defendant" includes cross-defendants. (*Id.* § 17:228.)

Here, the "Defense Judgment" was filed on 3/16/26, and entered on 3/24/26. It attaches the jury's verdict as Exhibit "A". As to Plaintiff's Complaint, the jury found no liability by Defendants, Palm 10, Harvey, and Desert Pacific Properties (DPP) to New Generation's Complaint. (Defense Judgment p. 17 of 21.) The jury also found no liability by New Generation as to Palm 10's Cross-Complaint. (*Ibid.*) The verdict further provided that New Generation "shall take nothing" from Palm 10, Harvey, and DPP for its claims asserted in its Complaint. (*Ibid.*) And, Palm 10 "shall take nothing" from New Generation. (*Ibid.*)

Palm 10 argues that both Plaintiff and Palm 10 sought the \$1.5 million in deposit and extension fees. Palm 10 asserts that it was the prevailing party on its Cross-Complaint because it obtained a "net monetary recovery" when the \$1.5 million was awarded to it. However, the verdict did not make any award to Palm 10. It merely provided that New Generation was "not entitled to a return of its deposits and/or extension fees." (*Id.* p. 19 of 22.) These circumstances do not indicate that Palm 10 obtained a "net monetary recovery" to make it the prevailing party.

Nonetheless, Palm 10 correctly argues that New Generation does not fit within any definition of "prevailing party." As such, it cannot be the "prevailing party" for purposes of costs here. Thus, New Generation is not entitled to costs as it is not the prevailing party and its MOC must be stricken in its entirety.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2406737	PAQUIN VS UNITED EXPRESS TRUCKING, INC.	MOTION TO COMPEL PLAINTIFF'S APPEARANCE AT DEPOSITION BY UNITED FREIGHT SERVICE, INC.

Tentative Ruling: Denied.

Responding party to provide notice pursuant to CCP 1019.5.